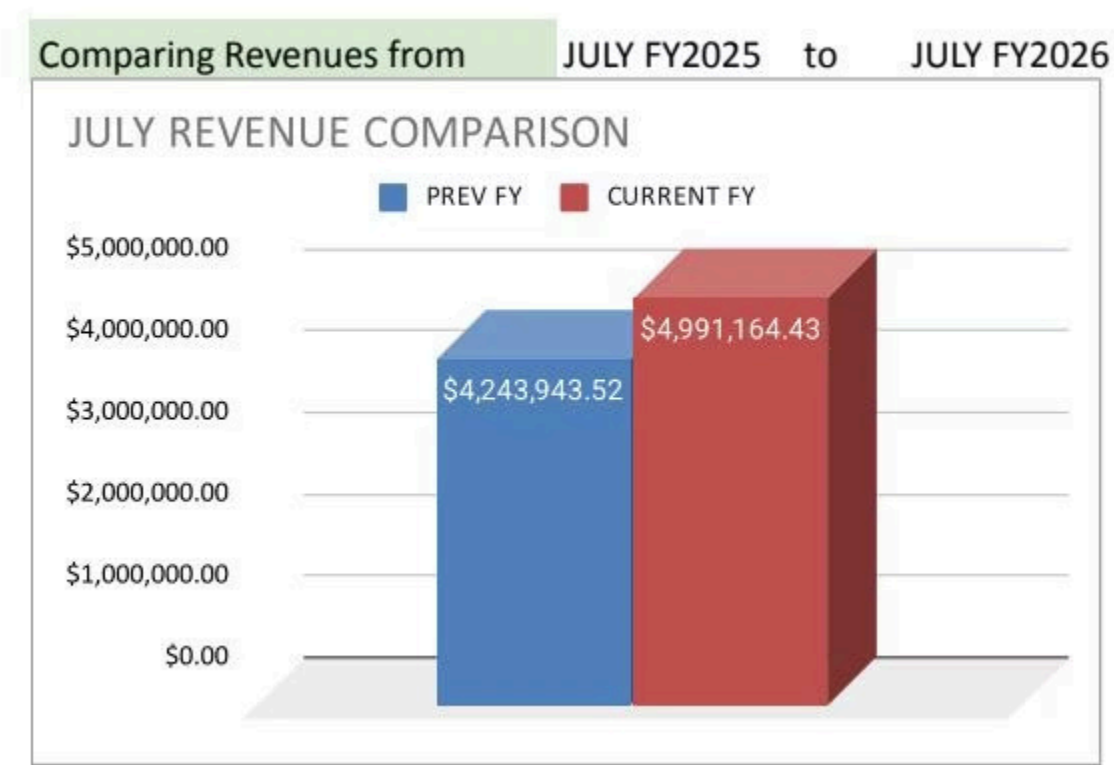


Financial Forecast Analysis: Revenue and Expense Projections

This document provides a comprehensive analysis of the district's financial forecast, examining projected revenues, expenses, and cash flow through June 30, 2026. The analysis shows a favorable revenue projection exceeding forecast by \$296,131.18 and favorable expense projections under forecast by \$274,497.31. Despite these positive variances, the district is projecting an overall decrease to the cash balance of \$817,677.51, resulting in a projected ending cash balance of \$18,414,241.27 as of June 30, 2026. The following sections detail monthly cash flow, revenue sources, expenditure categories, and key financial indicators to provide a complete picture of the district's fiscal health.

Revenue Analysis: Favorable Projection



\$56,838,335

Projected Revenue

Total projected revenue exceeds the forecast by \$296,131.18, creating a favorable variance.

\$56,542,204

Forecasted Revenue

Original revenue forecast used as the baseline for financial planning.

\$296,131

Favorable Variance

The positive difference between projected and forecasted revenues.

Key Factors Affecting Revenue

Despite the overall favorable projection, there are some notable trends in revenue sources that warrant attention:

State Revenue Decline

State revenues are slightly down compared to the previous year. This decrease is partially attributable to the timing of reimbursements for Science of Reading stipends, which affects the cash flow pattern but not necessarily the total annual amount.

Reduced "Other Revenues"

"Other Revenues" category shows a slight decrease compared to the previous fiscal year. This category typically includes miscellaneous income sources that can fluctuate year to year based on grants, donations, and other variable funding streams.

The revenue projection demonstrates resilience despite these minor decreases, with property tax collections and restricted/unrestricted grants maintaining strong performance to offset the reductions in other areas.

Expense Analysis: Budget Savings

The district is currently projecting total expenditures of \$57,656,012.69, representing a significant saving of \$274,497.31 compared to the initially planned budget of \$57,930,510.00. This favorable variance underscores effective budget management and a commitment to fiscal responsibility. These savings are instrumental in mitigating the anticipated cash flow decline, contributing positively to the district's overall financial health, even amidst certain cost increases observed from the previous year.

\$57,930,510

Forecasted Expenses

Initial budget plan

\$57,656,013

Projected Expenses

Current spending estimate

\$274,497

Favorable Variance

Amount under budget

Main Spending Trends

Higher Staff Costs

Salaries and benefits are up due to new year-round staff contracts and changes in retiree payments.

Changing Operations Costs

- Purchased services increased, mainly due to when they were paid for.
- Costs for supplies and major purchases went down from last year.

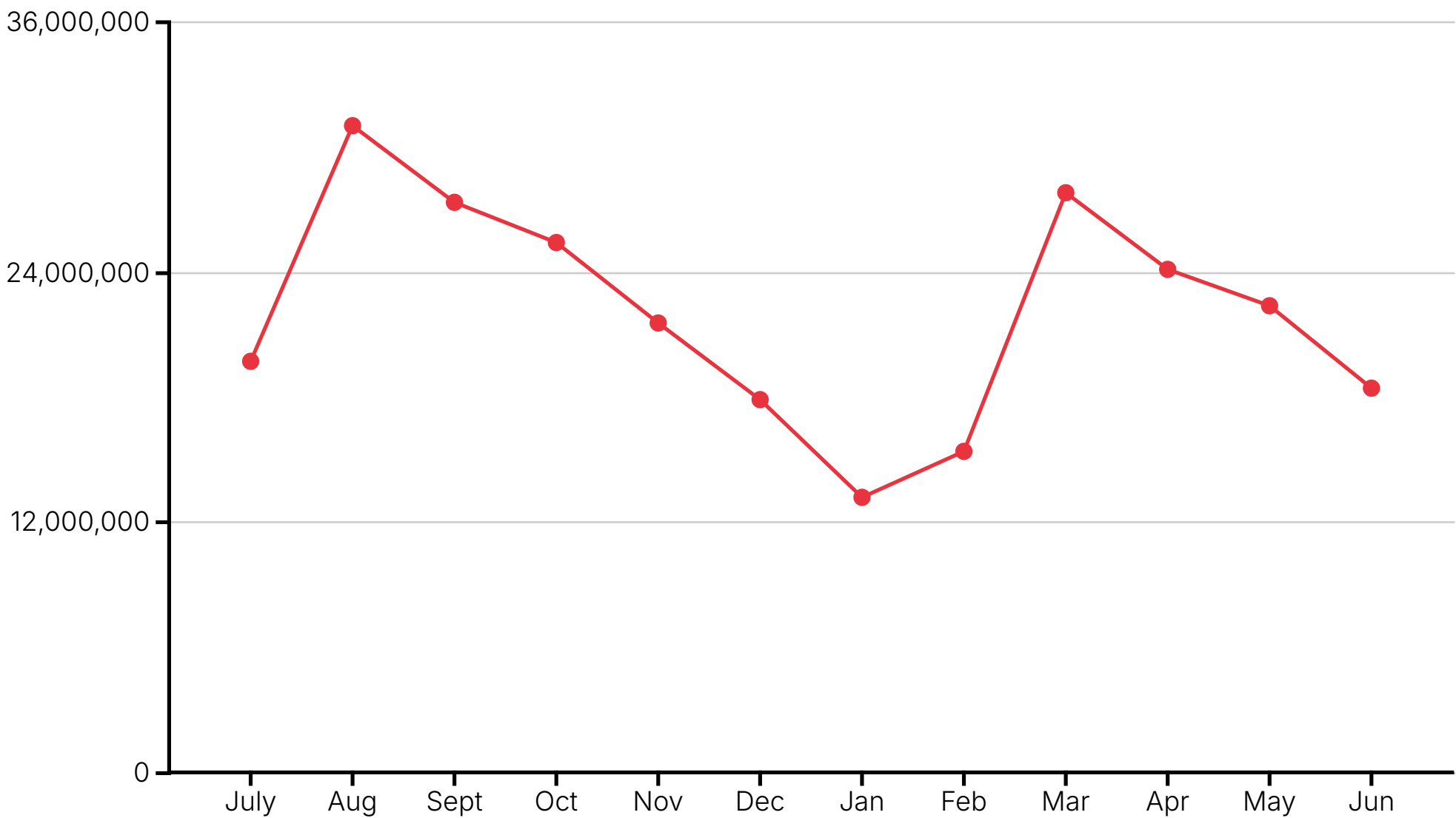
Cash Flow Projection and Balance

-\$817,678	\$18,414,241	118
Projected Change in Cash	Ending Cash Balance	True Days Cash
How much the district's cash is expected to change by the end of the year	How much cash the district expects to have by June 30, 2026	How many days the district could run on its cash savings alone

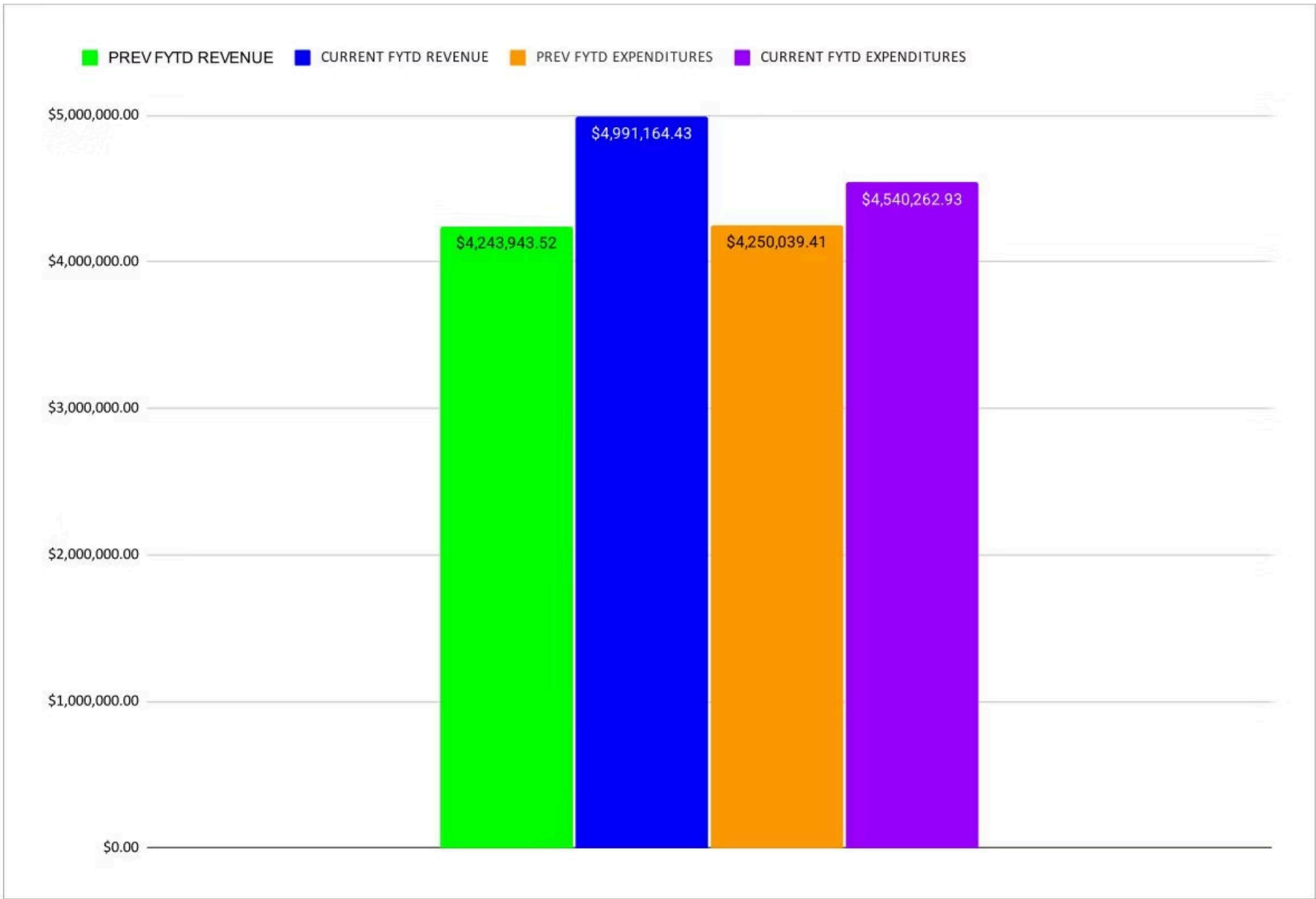
Even with good revenue and lower expenses, the district still expects its cash to drop by **\$817,678** by June 30, 2026. But this drop is smaller than first thought. And the projected **\$18.4M** they expect to have by then would cover **118 days** of spending, which is more than the suggested 90 days and shows they're in good financial shape.

Cash Flow Fluctuations

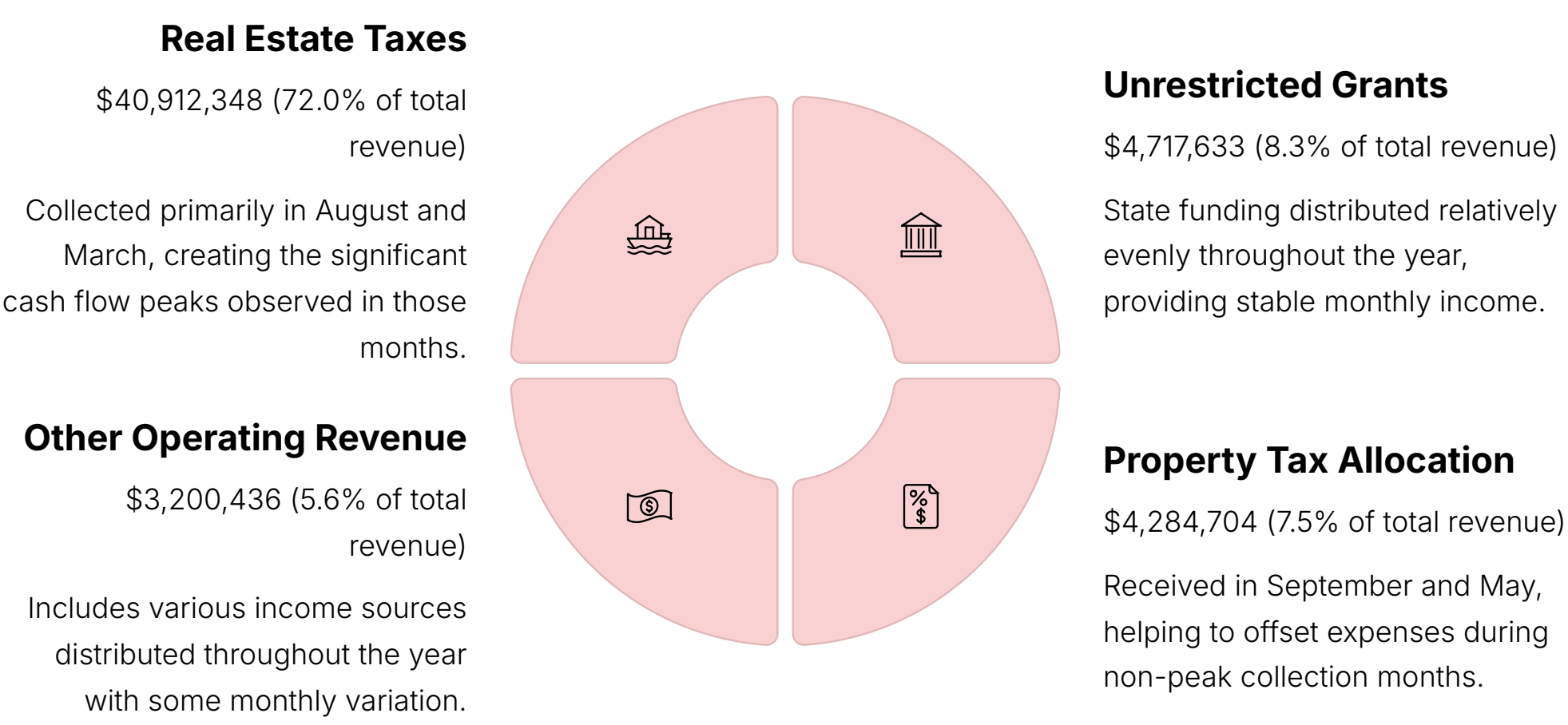
How much cash the district has changes a lot each month because of when taxes come in and when bills are paid. Cash is highest in **August at \$31.1M** right after tax money arrives, drops to a low of **\$13.2M in January**, and then jumps back up in **March** with the next big tax collection before going down again at year-end.



Revenue Sources Breakdown



The district's revenue comes from multiple sources, with property taxes representing the largest portion. Understanding the timing and distribution of these revenue streams is crucial for effective cash flow management.



Additional revenue sources include Personal Tangible taxes (\$2,870,620 or 5.1%) and Restricted Grants-in-Aid (\$805,103 or 1.4%), along with minor financing sources (\$47,491 or 0.1%).

Monthly Revenue Distribution

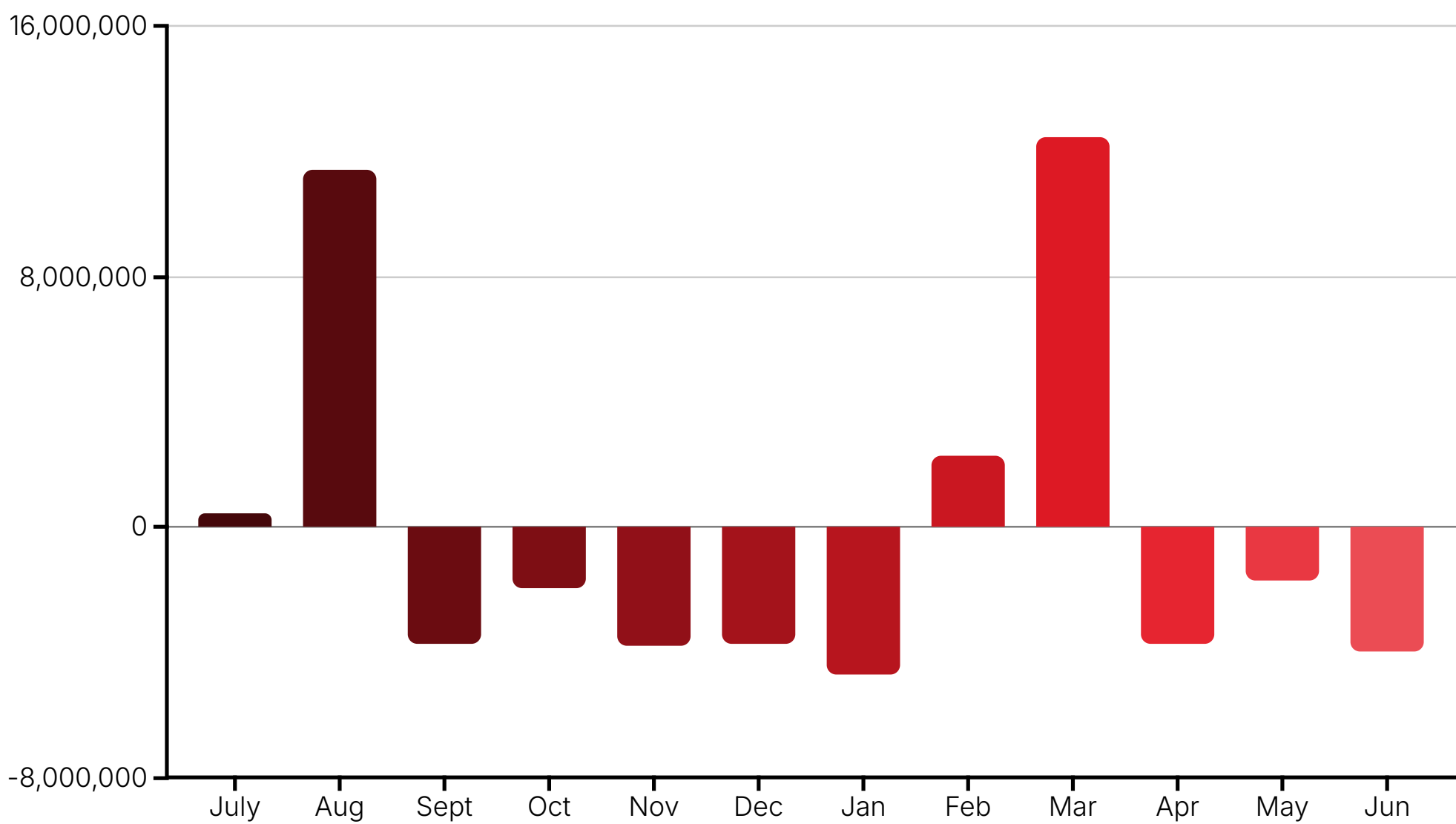
The timing of revenue receipts creates a highly uneven cash flow pattern throughout the fiscal year:

- **High-Revenue Months:** August (\$16,822,691), March (\$17,421,242), and July (\$4,991,164) account for 69% of annual revenue
- **Low-Revenue Months:** December (\$650,243), November (\$657,100), and April (\$621,204) have the lowest receipts
- **Average Monthly Revenue:** Approximately \$4.7 million, though this average is skewed by the high-collection months

This uneven distribution necessitates careful cash management to ensure sufficient funds are available during low-revenue periods, particularly January when the cash balance reaches its lowest point.

Monthly Cash Flow Analysis

The district's monthly cash flow reveals a pattern of surpluses and deficits throughout the fiscal year, driven primarily by the timing of tax collections and major expenditures. Understanding these patterns is crucial for effective financial management and planning.



Cash Flow Patterns

Surplus Months

Only four months show positive cash flow:

- **August:** \$11,398,398 (first major tax collection)
- **March:** \$12,431,588 (second major tax collection)
- **July:** \$450,902 (modest surplus at fiscal year start)
- **February:** \$2,246,374 (likely due to timing of state funding)

These four months generate a combined surplus of \$26,527,262, which must sustain operations during the eight deficit months.

Deficit Months

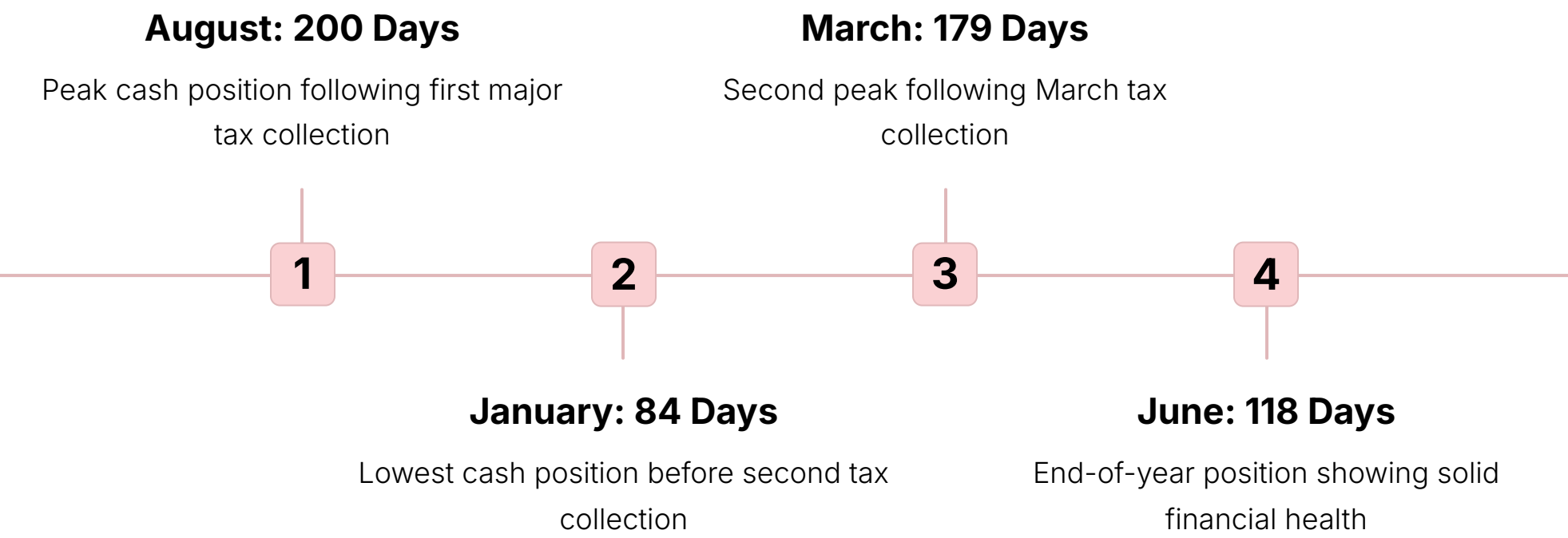
Eight months show negative cash flow:

- **January:** -\$4,729,315 (largest monthly deficit)
- **June:** -\$3,977,616 (second-largest deficit, end of fiscal year)
- **November:** -\$3,802,365
- **September:** -\$3,720,126
- **December:** -\$3,720,525
- **April:** -\$3,728,286
- **October:** -\$1,951,378
- **May:** -\$1,715,328 (smallest deficit month)

These eight months create a combined deficit of \$27,344,939, resulting in the projected annual decrease in cash balance of \$817,678.

True Days Cash Analysis

The "True Days Cash" metric measures how many days the district could operate using only its available cash reserves. This important liquidity indicator fluctuates significantly throughout the year:



The ending True Days Cash value of 118 days indicates that the district maintains a healthy cash reserve despite the projected annual decrease. This exceeds common recommendations for school districts to maintain 60-90 days of operating expenses in reserve.

		JULY		AUG	SEPT	OCT	NOV	DEC	JAN	FEB	MAR	APR	MAY	JUN	PROJECTED TOTAL	FORECAST MAY 2025
		ACTUAL														
	BEGINNING CASH BALANCE	19,231,919		19,682,820	31,081,219	27,361,092	25,409,714	21,607,348	17,886,823	13,157,509	15,403,883	27,835,471	24,107,186	22,391,857		
	RECEIPTS															
1.01	REAL ESTATE	4,232,984	10.43%	14,706,507	0	0	0	0	834,000	6,100,000	15,038,857	0	0	0	40,912,348	40,585,349
1.02	PERSONAL TANGIBLE	0	0.00%	1,201,685	0	0	0	0	0	0	1,668,935	0	0	0	2,870,620	3,096,676
1.035	UNRESTRICTED GRANTS-IN-AID	380,631	8.07%	512,169	392,061	406,300	386,368	386,516	477,364	357,272	356,476	355,271	354,586	352,620	4,717,633	4,717,702
1.04	RESTRICTED GRANTS-IN-AID	50,621	7.41%	46,108	57,653	46,562	39,558	27,683	23,359	39,916	23,825	25,950	23,867	400,000	805,103	683,456
1.05	PROPERTY TAX ALLOCATION	0	0.00%	0	0	2,104,147	0	0	0	0	0	0	2,180,556	0	4,284,704	4,243,642
1.06	ALL OTHER OPERATING REVENUE	299,037	9.40%	339,802	346,502	285,422	231,174	236,043	156,296	266,612	333,150	239,983	365,766	100,650	3,200,436	3,180,379
1.07	TOTAL REVENUE	4,963,274		16,806,271	796,216	2,842,431	657,100	650,243	1,491,019	6,763,799	17,421,242	621,204	2,924,775	853,270	56,790,844	56,507,204
2.01	PROCEEDS FROM SALES OF NOTES	0	0.00%	0	0	0	0	0	0	0	0	0	0	0	0	0
2.02	STATE LOANS AND ADVANCEMENTS	0	0.00%	0	0	0	0	0	0	0	0	0	0	0	0	0
2.04/5	TRANSFERS IN AND ADVANCES IN	0	0.00%	0	0	0	0	0	0	0	0	0	0	0	0	0
2.06	ALL OTHER FINANCING SOURCES	27,891	79.69%	16,420	0	0	0	0	3,180	0	0	0	0	0	47,491	35,000
2.08	TOTAL REVENUE AND OTHER FINANCING	4,991,164	8.83%	16,822,691	796,216	2,842,431	657,100	650,243	1,494,199	6,763,799	17,421,242	621,204	2,924,775	853,270	56,838,335	56,542,204
	TOTAL RECEIPTS PLUS CASH BALANCE	24,223,083		36,505,512	31,877,435	30,203,523	26,066,814	22,257,591	19,381,022	19,921,308	32,825,125	28,456,676	27,031,960	23,245,127	56,838,335	56,542,204
	EXPENDITURES		8.33%	3			Supplementals		3		Supplementals			Supplementals		
3.01	PERSONAL SERVICES	2,400,257	6.65%	3,520,000	2,750,000	3,205,828	2,905,023	2,750,000	4,500,000	2,850,000	2,950,000	2,750,000	2,700,000	3,000,000	36,281,107	36,100,030
3.02	EMPLOYEES RETIREMENT/INSURANCE	1,110,051	8.07%	1,310,051	1,110,051	1,110,051	1,110,051	1,110,051	1,208,467	1,110,051	1,220,000	1,110,051	1,090,237	1,095,553	13,694,667	13,753,607
3.03	PURCHASED SERVICES	873,984	16.06%	195,896	322,615	380,519	358,489	443,246	409,217	423,693	365,606	407,885	594,914	575,591	5,351,656	5,443,076
3.04	SUPPLIES AND MATERIALS	111,553	7.36%	125,462	324,175	82,646	80,000	60,000	90,783	120,000	70,000	75,000	241,642	120,000	1,501,261	1,516,396
3.05	CAPITAL OUTLAY(INCL. REPLACEMENT)	3,421	4.28%	5,000	1,075	5,784	306	2,262	262	5,000	5,000	2,625	5,000	37,407	73,143	80,000
4.02	DEBT SERVICE: PRINCIPAL-NOTES	0	0.00%	0	0	0	0	0	0	0	0	0	0	0	0	0
4.04	DEBT SERVICE: PRINCIPAL-STATE ADVANCES	0	0.00%	0	0	0	0	0	0	0	0	0	0	0	0	0
4.06	INTEREST AND FISCAL CHARGES	0	0.00%	0	0	0	0	0	0	0	0	0	0	0	0	0
4.3	OTHER OBJECTS	40,997	5.21%	267,884	8,426	8,981	5,597	5,208	14,784	8,681	379,048	3,929	8,309	2,335	754,180	787,401
5.01/2	TRANSFERS OUT AND ADVANCES OUT	0	0.00%	0	0	0	0	0	0	0	0	0	0	0	0	250,000
5.03	ALL OTHER FINANCING USES	0	0.00%													
5.02	TOTAL EXPENDITURES AND OTHER FINANCING	4,540,263	7.84%	5,424,293	4,516,342	4,793,809	4,459,466	4,370,768	6,223,514	4,517,425	4,989,654	4,349,490	4,640,103	4,830,886	57,656,013	57,930,510
	MONTHLY POS/NEG	450,902		11,398,398	-3,720,126	-1,951,378	-3,802,365	-3,720,525	-4,729,315	2,246,374	12,431,588	-3,728,286	-1,715,328	-3,977,616	-817,678	-1,388,306
	ENDING CASH BALANCE (MONTHLY)	19,682,820		31,081,219	27,361,092	25,409,714	21,607,348	17,886,823	13,157,509	15,403,883	27,835,471	24,107,186	22,391,857	18,414,241	18,414,241	17,843,613
															OVER/UNDER FORECAST	570,628
	TRUE DAYS CASH	126		200	176	163	139	115	84	99	179	155	144	118	118	